

COLLECTION · BUYERS

The Welcome Tax, Explained

*Quebec land transfer duties — calculation,
deadline and special cases*

READ BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It offers general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. As every real estate situation is different, it is recommended that you consult the appropriate professionals before making any decision regarding a real estate transaction.

© 2026 Émilie Cauvier — La Bibliothèque. All rights reserved. Any reproduction, distribution, sharing or resale, in whole or in part, by any means whatsoever, is strictly prohibited without prior written authorization. This guide is intended for the personal use of the purchaser.

The Welcome Tax, Explained

Quebec land transfer duties — calculation, deadline and special cases

“Welcome Tax”: a friendly name for a bill that surprises many buyers a few weeks after they move in. In reality, these are the land transfer duties, a very real municipal tax you need to plan for from the start.

This guide explains where this tax comes from, what value it's calculated on, how the brackets work (including the upper brackets specific to Montréal), the main exemption cases, and above all how to budget for it so you're never caught off guard.

2026 edition note: the provincial bracket thresholds are indexed each year and some municipalities add their own brackets. The amounts below are indicative — always check the schedule in force for your city and the year of your purchase.

“Welcome Tax”: the nickname is ironic, but the bill is very real. This guide explains where this tax comes from, what value it's calculated on, how to read the progressive schedule, and when to pay it — so it's nothing like a surprise.

The thresholds and rates (2026 edition) are indexed and vary by municipality: use this guide to understand the mechanism, then confirm the exact amount with your notary.

CHAPTER

Where does this tax come from?

Understanding the nature and purpose of transfer duties.

Land transfer duties are a tax collected by the municipality every time a property changes owner. The nickname “Welcome Tax” comes from the name of a former minister (Jean Bienvenue), not from a welcome gift — despite what the name suggests.

This tax funds municipal services. It is owed once, at the time of the transaction, by the buyer. Almost every municipality in Quebec collects it.

This tax is not a “trap”: it's an important source of revenue for municipalities, charged once, at purchase. Knowing about it in advance avoids the nasty surprise, because it can amount to several thousand dollars depending on the property price.

EMILIE'S TIP

Don't trust the name: it's not optional and it's not symbolic. On an average-priced property, the bill often reaches several thousand dollars.

CHAPTER

What value is it calculated on?

Knowing which value serves as the basis for the calculation.

The tax is calculated on the higher of two values: the price paid for the property, or the municipal assessment adjusted by a “comparative factor” (a coefficient the municipality applies to bring the assessment roll closer to market value).

In other words, if you pay more than the adjusted municipal assessment, the tax is based on your purchase price; otherwise, on the adjusted assessment. So you can't “reduce” the tax by under-declaring the price.

Remember the key rule: the rate is applied to the HIGHER of the two values — price paid or adjusted municipal assessment. In other words, paying “below assessment” doesn't reduce the tax below that adjusted assessment. This often explains an amount higher than expected.

EMILIE'S TIP

Before buying, ask your broker for the municipal assessment and the comparative factor of the target city. You can then estimate the tax in advance, almost to the dollar.

CHAPTER

The bracket-based calculation

Applying the progressive schedule, including the Montréal brackets.

The tax is progressive: each portion of the value is taxed at an increasing rate. Base provincial schedule (2026 edition, indexed thresholds, to be confirmed):

- 0.5% on the first bracket (up to about \$58,900).
- 1.0% on the next portion (up to about \$294,600).
- 1.5% on the portion beyond.

The City of Montréal adds upper brackets for higher-value properties (rates that climb beyond 1.5%, up to tiers of 3% and more for high amounts). Other cities may also adjust their tiers.

Indicative example (outside Montréal, a \$450,000 property)

- $0.5\% \times \$58,900 \approx \295
- $1.0\% \times (\$294,600 - \$58,900) \approx \$2,357$
- $1.5\% \times (\$450,000 - \$294,600) \approx \$2,331$
- Approximate total: about \$4,980 (to be confirmed by city and year).

Because the schedule is progressive, only the portion of value within each bracket is taxed at the corresponding rate — a bit like income tax. Montréal adds upper brackets for high-value properties. Always have the amount estimated BEFORE you make an offer, so you can build it into your closing budget.

EMILIE'S TIP

Always redo the calculation with the schedule of YOUR city and the current year. In Montréal especially, the upper brackets can significantly inflate the bill on an expensive property.

CHAPTER

Exemptions and special cases

Spotting situations where the tax may be reduced, deferred or waived.

The law provides for certain exemptions from transfer duties, notably several transfers between related persons. The rules are precise and change over time: they must be confirmed by the notary based on your situation. Among the cases frequently discussed:

- Transfers between spouses (married, in a civil union, and in some cases common-law partners depending on the conditions).
- Transfers in a direct line (for example from a parent to a child), subject to conditions.
- Certain reorganizations or transfers involving related legal entities.

Careful: some municipalities also apply a “supplementary duty” (a small amount) even when the exemption applies. Never assume an exemption without confirmation.

The most common exemptions cover transfers between related persons (spouses, direct ascendants/descendants), under specific conditions. They don't apply automatically: you often have to claim them and document the relationship. Your notary is the right person to confirm your eligibility.

EMILIE'S TIP

If your transaction involves family (gifting a property, buying out a relative's share, a transfer between spouses), talk to the notary EARLY: a poorly documented exemption can be denied.

CHAPTER

When and how to pay it (and plan for it)

Anticipating the deadline to avoid the nasty surprise.

The tax isn't paid at the notary's at the time of purchase: the municipality sends a separate bill, generally a few weeks to a few months after the transaction. It's precisely this lag that traps buyers — the bill often arrives once the budget is already stretched by the move and the first expenses.

The good habit

- Estimate the tax BEFORE buying, with your broker's help.
- Set the amount aside in a separate account as soon as you sign.
- Don't count on it for anything else: treat it as already spent.

Concretely, the bill arrives by mail a few weeks to a few months after the purchase, with a payment deadline. Set the money aside right at the transaction so you're not caught off guard — it's one of the most common cash-flow surprises for new owners.

EMILIE'S TIP

On possession day, immediately transfer the estimated Welcome Tax amount into a separate account. When the bill arrives, it's already paid in your mind — and in your budget.

IN PRACTICE

Action plan

Your next steps, concretely.

This week

1. Get the municipal assessment and the comparative factor of the target city.
2. Estimate my Welcome Tax for my price range.

Within 30 days

1. Set the estimated amount aside in a separate account as soon as I buy.
2. Confirm with the notary any exemption possibility linked to my situation.

Next

1. Check the exact schedule at the time of purchase, since the thresholds are indexed each year.

Before buying

1. Have my Welcome Tax estimated and add it to my closing budget.
2. Check with the notary whether an exemption applies to my situation.

REFERENCES

Resources & glossary

- Transfer duties: the official name for the Welcome Tax.
 - Comparative factor: municipal coefficient that adjusts the assessment toward market value.
 - Assessment roll: municipal register of property values.
 - Supplementary duty: small amount sometimes charged even when an exemption applies.
 - Deadline: separate municipal bill, generally a few weeks to a few months after the purchase.
-
- Transfer duties: the official name for the “Welcome Tax”.
 - Comparative factor: coefficient that adjusts the municipal assessment toward the market.
 - Tax base: the higher of the price paid or the adjusted assessment.
 - Progressive schedule: increasing rate by value bracket.
 - Exemption: cases (often between relatives) where the tax is reduced or waived.

GOING FURTHER

Quiz — test your knowledge

1. The Welcome Tax is actually:

- A) A gift from the municipality
- B) The land transfer duties
- C) A school tax
- D) A penalty

2. It is calculated on:

- A) Always the price paid
- B) Always the municipal assessment
- C) The higher of the price paid or the adjusted assessment
- D) The down payment

3. The comparative factor is used to:

- A) Reduce the tax
- B) Bring the municipal assessment closer to market value
- C) Calculate the mortgage
- D) Set the interest rate

4. The tax schedule is:

- A) A single rate
- B) Progressive, in increasing brackets
- C) Fixed at 5%
- D) Free under \$500,000

5. Montréal stands out with:

- A) No tax
- B) Higher upper brackets
- C) An automatic refund
- D) A rate of 0.1%

6. An exemption is sometimes possible for:

- A) Any purchase
- B) Certain transfers between related persons
- C) Condos only
- D) Investors

7. Even when exempt, you may have to pay:

- A) Double
- B) A supplementary duty in some cities
- C) Nothing at all, ever
- D) The school tax

8. The tax is paid:

- A) At the notary's at purchase
- B) Through a municipal bill, weeks/months later
- C) Every month
- D) Never

9. The best habit is to:

- A) Forget about it
- B) Set the estimated amount aside as soon as you buy
- C) Borrow it later
- D) Dispute it

10. For a \$450,000 example outside Montréal, the order of magnitude is:

- A) ~\$50
- B) ~\$500
- C) ~\$5,000
- D) ~\$50,000

Answer key

- 1. **B** — It's a municipal tax on the transfer of property (ch. 1).
- 2. **C** — You take the higher of the two values (ch. 2).
- 3. **B** — It's an adjustment coefficient for the assessment roll (ch. 2).
- 4. **B** — Each value bracket is taxed at an increasing rate (ch. 3).
- 5. **B** — The City adds upper tiers for high values (ch. 3).
- 6. **B** — Notably between spouses or in a direct line, under conditions (ch. 4).
- 7. **B** — Some municipalities charge a small supplementary duty (ch. 4).
- 8. **B** — The bill arrives separately, after the transaction (ch. 5).

9. B — You treat it as already spent (ch. 5).

10. C — About \$4,980 per the indicative schedule (ch. 3).

Signé PAR Em

*Thank you for reading. May this guide help you
decide with confidence, with all the information
in hand.*

© 2026 Émilie Cauvier — La Bibliothèque. All rights reserved. Any reproduction, distribution, sharing or resale, in whole or in part, by any means whatsoever, is strictly prohibited without prior written authorization.
This guide is intended for the personal use of the purchaser.